

24STCV32029 24STCV32029

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Case Number: 24STCV32029 Hearing Date: August 10, 2026 Dept: 11

Catanach

(24STCV32029)

Tentative Ruling Re:

Demurrer

. .

Date: 8/10/26

Time: 11:00 am

Moving

Party: Bold Quail 3, LLC,

Bold Quail 3 Operations Holdings, LLC, NewGen, LLC, and NewGen Administrative

Services, LLC (collectively "NewGen Defendants"), M-Theory Consulting Group,

LLC ("M-Theory"), and Integrated Health Systems, LLC ("IHS") (collectively

"Defendants")

Opposing

Party: Marie Catanach

("Plaintiff")

Department: 11

Judge: Bruce G. Iwasaki

TENTATIVE RULING

Defendants' demurrer is sustained with leave to amend in part and overruled in part.

BACKGROUND

This is a putative class action about a ransomware attack. The operative complaint alleges:

1. This

class action arises from Defendants' collective failure to secure the sensitive Personal Information ("PII") and Protected Health Information ("PHI") of approximately 105,425 individuals, leading to a massive data breach.

2. Defendant

Bold Quail Holdings, LLC is a Delaware limited liability company, and Defendants Bold Quail 3, LLC, Bold Quail 3 Operations Holdings, LLC, NewGen, LLC, and NewGen Administrative Services, LLC are California limited liability companies (collectively, the "NewGen Defendants"). On information and belief, these companies advise, operate, own, provide consulting services to, and provide information technology services to a network of rehabilitation, skilled nursing, behavioral health, and assisted living facilities throughout California, including, without limitation, S&F Market Street Healthcare, LLC; Windsor Care Center National City, Inc.; Windsor Cheviot Hills, LLC; Windsor Country Drive Care Center, LLC; Windsor Court Assisted Living, LLC; Windsor Cypress Gardens Healthcare, LLC; Windsor El Camino Care Center, LLC; Windsor Elk Grove and Rehabilitation Center, LLC; Windsor Elmhaven Care Center, LLC; Windsor Gardens Convalescent Hospital, Inc.; Windsor Hampton Care Center, LLC; Windsor Hayward Estates, LLC; Windsor Monterey Care Center, LLC; Windsor Rosewood Care Center, LLC; Windsor Sacramento Estates, LLC; Windsor Skyline Care Center, LLC; Windsor Terrace Healthcare, LLC; Windsor The Ridge Rehabilitation Center, LLC; Windsor Vallejo Care Center, LLC; American River Center; Anaheim Terrace Care Center; Ballard Center; Bay Crest Care Center; Creekside Center; Devonshire Care Center; Fountain View Subacute and Nursing Center; Kingsburg Center; Linden Grove Health Care Center; Montebello Care Center; Montesano Health - Rehab Center; Orchard Park Health Care and Rehab Center; Playa Del Rey Center; Rio Hondo Subacute and Nursing Center; Saint Joseph Transitional Rehabilitation Center; The Earlwood; The Heights of

Summerlin, LLC; Willows Post Acute; and Woodland Care Center.

3. The

NewGen Defendants maintain their principal business address at 9526 West Pico Blvd., Los Angeles, CA 90035, and operate as a single integrated enterprise sharing offices, functions, management, and control.

4. Defendant

M-Theory Consulting Group, LLC ("M-Theory") is a California limited liability company that provided managed service provider services for the NewGen Defendants. M-Theory's principal place of business is located at 6171 W. Century Blvd., Suite 350, Los Angeles, CA 90045. M-Theory was responsible for designing, installing, managing, and operating the IT infrastructure and servers that housed patients' sensitive PII and PHI on behalf of the NewGen Defendants.

5. Defendant

Integrated Health Systems, LLC ("IHS") is a Kansas limited liability company with its principal place of business at 7520 West 160th Street, Suite 101, Overland Park, KS 66085. IHS provided network security services and was responsible for managing and maintaining the firewall systems that were the initial point of entry for the cybercriminals who perpetrated the data breach.

6. On

September 13, 2023, cybercriminals exploited known vulnerabilities in firewall systems managed by IHS and infiltrated M-Theory's inadequately protected servers using "Akira" ransomware. The attack encrypted servers containing the highly sensitive PII and PHI of current and former patients and employees of the NewGen Defendants' healthcare facilities.

7. Despite

discovering the breach on September 14, 2023, Defendants waited over five months—until February 23, 2024—to notify affected individuals. This egregious and unreasonable delay violated California law requiring notification "in the most expedient time possible and without unreasonable delay."

8. The

compromised data includes highly sensitive personal and medical information: names, addresses, medical diagnoses, lab results, medications, treatment information, dates of birth, Social Security numbers, driver's license numbers,

insurance claims information, credit card numbers, bank account numbers, and other financial information.

9. The data

breach occurred as a direct result of Defendants' failures to implement and maintain reasonable security procedures and practices appropriate to the nature of the sensitive information they stored. Specifically, IHS failed to properly configure and monitor the Meraki firewalls through which the initial intrusion occurred; M-Theory failed to adequately secure and encrypt the servers storing patients' sensitive data and terminated critical vulnerability scanning services months before the attack, leaving systems vulnerable; and the NewGen Defendants failed to conduct adequate security due diligence after acquiring the Windsor facilities in July 2023, failed to ensure proper vendor management and oversight, and failed to remedy the termination of vulnerability scanning services that left them with "no visibility to vulnerabilities."

10. The

delay in notification significantly increased the risk of harm to affected individuals, because cybercriminals had unfettered ability to misuse the stolen information for over five months while victims remained unaware their sensitive data had been compromised.

11. As a

direct result of Defendants' failures, Plaintiff and Class Members have suffered actual and imminent injury. Their sensitive personal and medical information is now in the possession of cybercriminals who can sell and misuse it for fraudulent purposes. The exposure of this information has placed Plaintiff and Class Members at a substantial, present, and continuing risk of identity theft and financial fraud.

(First Amended Class Action Complaint ("FAC"), ¶¶
6-11.)

Plaintiff asserts causes of action for negligence, negligence per se, breach of implied contract, violation of the Unfair Competition Law ("UCL"), violation of the California Consumer Privacy Act ("CCPA"), violation of the California Customer Records Act ("CCRA"), and violation of the Confidentiality of Medical Information Act ("CMIA").^[1]

Here, Defendants demur to the operative complaint on

numerous grounds.

APPLICABLE LAW

When

considering demurrers, courts read the allegations liberally and in context, and “treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (Serrano v. Priest (1971) 5 Cal.3d 584, 591.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) It is error “to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 967.)

DISCUSSION

Standing

This issue applies to all causes of action.

Defendants contend Plaintiff lacks standing because she fails to allege an injury in fact. (See Demurrer, pp. 2-5 [arguing that Plaintiff’s allegations fail to show risk of future harm, lost time and mitigation costs, anxiety and loss of privacy, increased spam, lost value of PII, and lost benefit of the bargain].)

Plaintiff claims the FAC alleges concrete injuries. She insists that her allegations justify a finding of standing because she alleges that the ransomware attack “involved exfiltration of unencrypted data, not mere encryption.” (Opposition, p. 2, ~~bolding deleted~~; see also *id.* at p. 3 [citing cases]; cf. Reply, pp. 1-2 [asserting that “[e]xfiltration of unencrypted data is not prima facie evidence of a concrete, cognizable injury”], ~~bolding deleted~~.)

Further, Plaintiff claims “[e]ach of [the] specific injuries is . . . adequately pleaded.” (Opposition, p. 3, ~~bolding deleted~~; see also *id.* at pp. 4-5; cf. Reply, pp. 2-4 [rearguing that Plaintiff’s injury allegation fail to demonstrate concrete

injuries].)

“[A]s a general matter, to have standing to pursue a claim for damages in the courts of California, a plaintiff must be beneficially interested in the claims he is pursuing.”

(Limon v. Circle K Stores, Inc. (2022) 84 Cal.App.5th

671, 700.) “A beneficial interest means

the party has a special interest over and above the interest of the public at large.” (Muha v. Experian Information

Solutions, Inc. (2024) 106 Cal.App.5th 199, 208.) “This standard ‘is equivalent to the federal

“injury in fact” test, which requires a party to prove by a preponderance of the evidence that it has suffered “an invasion of a legally protected interest that is ‘(a) concrete and particularized, and (b) actual or imminent, not

conjectural or hypothetical.’” (Ibid.) “Thus, as a general rule, a plaintiff must

allege he or she suffered a concrete ‘injury,’ as that term is used in Article

III standing jurisprudence, to sue in California state court.” (Ibid.)

The Court turns to the allegations. The FAC states:

107. On or

about September 13, 2023, cybercriminals launched an “Akira” ransomware attack against the M-Theory servers that housed data from the Windsor Healthcare facilities.

108. The

initial intrusion vector for the ransomware attack was through vulnerabilities in the misconfigured and unmonitored Cisco Meraki firewalls that were owned, operated, and managed by IHS on behalf of the Windsor facilities.

109. The

attackers exploited known vulnerabilities in the Meraki firewall systems to gain unauthorized access to the M-Theory servers.

110. These

vulnerabilities in the IHS-managed firewalls would have been detected and remediated if the Vulnerability Management Service had not been terminated in February 2023, leaving the enterprise with “no visibility to vulnerabilities.”

111. Once

inside the network, the attackers gained access to the M-Theory servers and

exfiltrated massive amounts of unencrypted and non-redacted data containing the sensitive PII and PHI of patients and employees.

112. After

exfiltrating the data, the attackers encrypted the M-Theory servers with the “.akira” extension, rendering the data inaccessible to the NewGen Defendants.

113.

Evidence of the stolen data includes server names suggesting electronic health record (EHR) systems (“SNFV-ALLSCRIPPS”) and payroll data (“SNFV-PAYROLL”), demonstrating that highly sensitive medical and financial information was compromised.

114. The

data compromised in the attack was stored in an unencrypted and non-redacted format, making it immediately accessible and usable by the cybercriminals.

115. The

Data Breach was the direct result of security vulnerabilities in the firewall systems managed by IHS that would have been detected if the vulnerability scanning service maintained by M-Theory had not been terminated seven months before the attack.

(FAC, ¶¶ 107-115.)

These paragraphs indicate that the attackers exfiltrated, and gained access to, patients' unencrypted and unredacted PII and PHI.

However, Defendants argue that exfiltration, alone, is insufficient. They claim Plaintiff must allege that the hackers misused her PII and PHI or that her PII and PHI were intentionally targeted as part of the ransomware attack. (See Reply, pp. 1-2 [citing *Podroykin v. American Armed Forces Mutal Aid Assn.* (E.D. Va. 2022) 634 F.Supp.3d 265 and *Graham v. Universal Health Serv., Inc.* (E.D. Pa. 2021) 539 F. Supp. 3d 481].)

Podroykin and Graham were decided by district courts in the Third and Fourth Circuits.

The Court finds the Ninth Circuit's decision in *In re Zappos.com, Inc.* (9th Cir. 2018) 888 F.3d 1020 (“In re

Zappos”) more persuasive. There, hackers breached the defendant’s online servers and “stole the names, account numbers, passwords, email addresses, billing and shipping addresses, telephone numbers, and credit and debit card information of more than 24 million [] customers.” (In re Zappos, supra, 888 F.3d at 1023.) The Ninth Circuit found that the plaintiffs alleged standing by alleging a substantial risk of future harm, namely, the plaintiffs alleged that the stolen information could “be used to commit identity theft, including by placing them at higher risk of ‘phishing’ and ‘pharming,’ which are ways for hackers to exploit information they already have to get even more PII.” (Id. at 1027; see also id. at 1025-1026, 1028-1029.)

The FAC is similar.

Plaintiff alleges that “names, addresses, medical diagnoses, lab results, medications, treatment information, dates of birth, Social Security numbers, driver’s license numbers, insurance claims information, credit card numbers, bank account numbers, and other financial information” were taken. (FAC, ¶ 8; see also id. at ¶ 13.) Paragraph 228 states that Plaintiff “has experienced a marked increase in sophisticated phishing emails and spam calls that reference her personal information since the Data Breach, demonstrating that her stolen information is actively being used by cybercriminals.” (Id. at ¶ 228; see also id. at ¶ 231 [“On information and belief, Plaintiff’s and Class members’ PII/PHI has already been published—or will be published imminently—by cybercriminals on the Dark Web.”].)

The demurrer is overruled. Plaintiff’s allegations – especially the “phishing” allegation – appear analogous enough to In re Zappos to establish standing at the pleading stage.[2]

Causation

This issue applies to all causes of action.

Citing *Castillo v. Seagate* (N.D. Cal. Sept. 14, 2016, No. 16-cv-01958-RS) 2016 WL 9280242 and *Stasi v. Inmediata Health Group Corp.* (S.D. Cal. 2020) 501 F.Supp.3d 898, Defendants argue that Plaintiff cannot trace her injuries to Defendants or show that Defendants caused them. (See Demurrer, pp. 5-6; see also Reply, p. 4 [attempting to analogize Stasi].)

Castillo is distinguishable.

The district court found causation lacking because the plaintiff admitted that her PII “had been compromised during a previous, unrelated data breach.” (Castillos, *supra*, 2016 WL 9280242, at *4.) As Plaintiff notes, there is no equivalent admission in her case. (See Opposition, p. 5.)

Stasi is distinguishable for the same reason. The plaintiff alleged that he had also been a victim of an earlier data breach targeting a different company in 2017. (See Stasi, *supra*, 501 F.Supp.3d at 916.) In part, the district court determined that the plaintiff’s admission undermined his effort to link identity theft to the defendant’s 2019 data breach instead of the 2017 data breach. (See *ibid.*)

The demurrer is overruled.

Failure to State
Elements

Alter Ego

NewGen Defendants assert:

Plaintiff

tries to summarily equate the actions of the distinct “Bold Quail” and “NewGen” entities as one. Plaintiff’s bare, conclusory allegations of alter ego are insufficient. The Complaint primarily asserts legal conclusions (e.g., Compl. ¶¶ 3, 22, 27) and otherwise lacks factual support (e.g., *id.* ¶ 23). “To prevail on a claim of ‘alter ego,’ the third party must show (1) there is such a unity of interest that the separate personalities of the corporations no longer exist; and (2) inequitable results will follow if the corporate separateness is respected.” *Tomaselli v. Transamerica Ins. Co.*, 31 Cal. Rptr. 2d 433, 443 (Cal. App. 4th Dist. 1994). Even if the contentions based on information and belief about the separate “Bold Quail” and “NewGen” entities are sufficient to satisfy the first prong (and they are not) Plaintiff never alleges an inequitable result would occur if the separateness is recognized.

(Demurrer, p. 6; see also Reply, p. 4.)

The demurrer is overruled. "To prevail on a claim of "alter ego," the third party must show (1) there is such a unity of interest that the separate personalities of the corporations no longer exist; and (2) inequitable results will follow if the corporate separateness is respected." (Tomaselli v. Transamerica Ins. Co. (1994) 25 Cal.App.4th 1269, 1285.)

Plaintiff alleges:

21. At all

relevant times, each of the NewGen Defendants maintained their principal place of business at the same address: 9526 West Pico Blvd., Los Angeles, CA 90035.

22. The

NewGen Defendants operate as a single integrated enterprise with shared management, employees, and centralized control over administrative, financial, and information technology functions for a network of rehabilitation, skilled nursing, behavioral health, and assisted living facilities throughout California, including, without limitation, S&F Market Street Healthcare, LLC; Windsor Care Center National City, Inc.; Windsor Cheviot Hills, LLC; Windsor Country Drive Care Center, LLC; Windsor Court Assisted Living, LLC; Windsor Cypress Gardens Healthcare, LLC; Windsor El Camino Care Center, LLC; Windsor Elk Grove and Rehabilitation Center, LLC; Windsor Elmhaven Care Center, LLC; Windsor Gardens Convalescent Hospital, Inc.; Windsor Hampton Care Center, LLC; Windsor Hayward Estates, LLC; Windsor Monterey Care Center, LLC; Windsor Rosewood Care Center, LLC; Windsor Sacramento Estates, LLC; Windsor Skyline Care Center, LLC; Windsor Terrace Healthcare, LLC; Windsor The Ridge Rehabilitation Center, LLC; Windsor Vallejo Care Center, LLC; American River Center; Anaheim Terrace Care Center; Ballard Center; Bay Crest Care Center; Creekside Center; Devonshire Care Center; Fountain View Subacute and Nursing Center; Kingsburg Center; Linden Grove Health Care Center; Montebello Care Center; Montesano Health - Rehab Center; Orchard Park Health Care and Rehab Center; Playa Del Rey Center; Rio Hondo Subacute and Nursing Center; Saint Joseph Transitional Rehabilitation Center; The Earlwood; The Heights of Summerlin, LLC; Willows Post Acute; and Woodland Care Center.

23. On

information and belief, the NewGen Defendants commingle funds and fail to maintain corporate formalities, treating assets and operations as belonging to a single entity rather than separate legal entities.

24. On July

1, 2023, the NewGen Defendants acquired the Windsor Healthcare facilities, including Windsor El Camino Care Center, LLC, from S&F Management Company, LLC.

25. Shortly

after the acquisition, on August 23, 2023, substantially all of the Windsor facility-level entities filed voluntary Chapter 11 bankruptcy petitions, which were jointly administered under Case No. 23-11200 in the United States Bankruptcy Court for the Central District of California.

26. NewGen

Administrative Services, LLC conducted business under the name Bold Quail Holdings, LLC, further demonstrating a unity of interest and disregard for corporate formalities among the NewGen Defendants.

27. Based on

the foregoing, the NewGen Defendants acted as agents and alter egos of one another and the acquired Winsor entities, making them jointly and severally responsible for the security of patient data across the entire enterprise, both before and after the July 1, 2023 acquisition.

(FAC, ¶¶ 21-27.)

Although these paragraphs do not contain an allegation showing that “an inequitable result would occur if the separateness is recognized” (Demurrer, p. 6), Plaintiff is entitled to allege on information and belief (see, e.g., Weil & Brown, Cal. Practice Guide: Civ. Procedure Before Trial (The Rutter Group 2026) ¶ 6:121.5). The question of alter-ego liability is ultimately a fact question that must be fleshed out via discovery. The efficient approach is to move to the discovery stage.

Negligence (First Cause
of Action)

Defendants advance two arguments in support of the demurrer to the negligence claim. First, they contend that the economic-loss rule bars the negligence cause of action. (See Demurrer, pp. 6-7 [citing cases]; cf. Opposition, p. 7 [“Where the parties are not in privity and no commercial transaction between them allegedly went awry, the

economic loss rule does not apply.”.)

Second, as to the NewGen Defendants and IHS, they contend Plaintiff fails to allege duty, breach, and causation.

(See Demurrer, p. 7; see also Reply, p. 5.)

The first argument is unavailing. The economic-loss rule forecloses “recovery of purely economic loss[.]” yet many exceptions exist. (Gardiner v. Walmart Inc. (N.D. Cal. Mar. 5, 2021, No. 20-cv-04618-JSW) 2021 WL 2520103, at *8.) The rule does not apply if there is “(1) personal injury, (2) physical damage to property, (3) a ‘special relationship’ existing between the parties, or (4) some other common law exception to the rule[.]” (Ibid.) In Stasi, “the compromised information [] include[d] medical information, the disclosure of which leads to damages that are not necessarily as ‘economic’ as those resulting from the theft of credit card information and social security numbers.” (Stasi, supra, 501 F.Supp.3d at 913.) “Plus,” the complaint alleged that the plaintiffs “noticed an increase in spam/phishing e-mails and/or calls . . . , which is harm that is also not necessarily ‘economic’ in nature.” (Ibid.) The district court found the rule inapplicable, reasoning that “the time spent responding to a data breach is a non-economic injury[.]” (Ibid.; see also id. at 913-914 [reasoning that the plaintiffs and defendant “were not in privity of contract, there was no commercial activity between” the plaintiffs and defendant, “and the case d[id] not involve a defective product or services resulting in mere ‘disappointed expectations[.]’”].) Plaintiff alleges like allegations concerning medical information and time expended “monitoring her financial accounts, reviewing credit reports, and taking protective measures.” (FAC, ¶ 227; see also, e.g., ¶¶ 8, 13.) Overall, the Court agrees with Plaintiff that

Stasi is more akin to Plaintiff’s case than Moore v. Centrelake Medical Group, Inc. (2022) 83 Cal.App.5th 515 is. (See Opposition, p. 7 [distinguishing Moore]; see also Moore, supra, 83 Cal.App.5th at 534-535 [explaining that the rule “applies, inter alia, where the parties are in contractual privity and the plaintiff’s claim arises from the contract (in other words, the claim is not independent of the contract)” and noting that the plaintiff alleged “direct contractual privity” with the defendant].)

The second argument is unsubstantiated. Defendants devote one paragraph to the argument, and they cite nothing. (See Demurrer, p. 7.)

The demurrer to the first cause of action is overruled.

Negligence Per Se
(Second Cause of Action)

Defendants argue:

Plaintiff

cannot rely on the Federal Trade Commission Act ("FTC Act") and the Health Insurance Portability and Accountability Act ("HIPAA") to support her negligence per se claim because no private right of action exists under either statute. (See Compl. ¶¶ 234-50.) Numerous courts have held that FTC Act does not provide for a private right of action and cannot serve as the basis of a negligence per se claim. . . . Because Plaintiff bases her negligence per se claim entirely on alleged violations of HIPAA and the FTC Act, the claim fails.

(Demurrer, pp. 7-8 [citing cases].)

Plaintiff represents that she wants to utilize the California Customer Records Act (CCRA) and Confidentiality of Medical Information Act (CMIA) as predicates. She requests leave to amend to "expressly designate" them.
(Opposition, p. 10; cf. Reply, p. 5 [opposing leave to amend].)

The demurrer to the second cause of action is sustained with leave to amend. The FAC only mentions the FTC Act and HIPPA. (See FAC, ¶¶ 233-254.) Plaintiff concedes that the FTC Act and HIPPA cannot be used for negligence per se. (See Opposition, p. 10 [agreeing that the FTC Act and HIPPA do not "create[] private right[s] of action"].)

The court grants leave to amend to base the claim on the CCRA and CMIA. The court makes not ruling on the viability of a not yet pleaded claim.

Breach of Implied
Contract (Third Cause of Action)

Defendants assert that Plaintiff fails to plead formation of the implied contract and the contractual terms. (See Demurrer, pp. 8-9 [citing cases];

see also Reply, pp. 5-6.)

Plaintiff points the Court to Kirsten v. California Pizza Kitchen, Inc. (C.D. Cal. July 29, 2022, No. 2:21-CV-09578-DOC-KES) 2022 WL 16894503. (See Opposition, pp. 10-11.) The employer “argue[d] that there was no meeting of the minds that its systems would never be breached.” (Kirsten, supra, 2022 WL 16894503, at *5.) The district court disagreed, finding that “the mandatory receipt of PII implies the recipient’s assent to protect the PII[.]” (Ibid.)

The demurrer to the third cause of action is sustained with leave to amend. “An implied contract requires that both parties agree to its terms and have a ‘meeting of the minds,’ but the creation of an implied contract can be manifested by conduct rather than words.” (Castillo, supra, 2016 WL 9280242, at *8.) The trend, recognized in Kirsten, is to find an implied promise to protect the data, and implied consent, when the defendant receives the “plaintiffs’ names, Social Security Numbers and other personal information[.]” (Kirsten, supra, 2022 WL 16894503, at *5 [citing Castillo, In re Target Corp. Customer Data Security Breach Litigation (D. Minn. 2014) 66 F.Supp.3d 1154, and In re Ambry Genetics Data Breach Litigation (C.D. Cal. 2021) 567 F.Supp.3d 1130].) An important distinction, though, is that the Kirsten plaintiffs alleged that the defendant had a statutory obligation to “implement and maintain reasonable security procedures and practices to protect the” PII. (Ibid.) Plaintiff fails to highlight a statutory obligation in the FAC. See FAC, ¶¶ 255-276.)

The demurrer to the cause of action for breach of implied contract is sustained with leave to amend.

Unfair Competition Law (UCL)
(Seventh Cause of Action)

Defendants argue:

* Plaintiff must demonstrate that “she lacks an adequate

remedy at law before securing equitable restitution for past harm under the UCL” (Demurrer, p. 9);

* “Plaintiff has not alleged that she has incurred any out-of-pocket expenses” (id. at p. 10); and

* “Plaintiff fails to satisfy the unlawful prong[.]” (Ibid.; see also Reply, p. 6.)

The first point fails. California law allows Plaintiff to plead inconsistent theories, request inconsistent remedies, and leave election for another day. (See, e.g., Weil & Brown, Cal. Practice Guide: Civ. Procedure Before Trial (The Rutter Group 2026) ¶ 6:249.5 [advising that a “plaintiff may proceed to trial on alternative theories with inconsistent remedies” and that an election is not required until “entry of judgment”], emphasis in original.) Whether Plaintiff possesses an adequate remedy at law is a question for either summary judgment or trial.

The second point – failure to plead out of pocket expenses – is well taken. Plaintiff alleges:

Plaintiff has standing to bring this UCL claim because she lost money or property as a result of Defendants’ unfair competition. Specifically, Plaintiff lost the value of her PII/PHI, which was compromised and rendered valueless or of negative value due to Defendants’ conduct. Plaintiff also spent over 15 hours monitoring accounts and taking protective measures, representing lost time and opportunity costs. Additionally, Plaintiff did not receive the full benefit of her bargain, as she paid for medical services that were to include adequate data security but received substandard security that resulted in the Data Breach.

(FAC, ¶ 279.)

The allegations are conclusory and do not show that Plaintiff actually “lost money or property as a result of unfair competition[.]” (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 320-321, internal quotation mark omitted.) The Court will give Plaintiff a chance to amend to fix this defect.

The third point amounts to an improper partial demurrer. The UCL is written in the disjunctive, meaning alleging a

violation of one prong is sufficient to defeat a demurrer. Defendants do not challenge Plaintiff's unfair-prong and fraud-prong allegations.
(See FAC, ¶¶ 290-302.)

The demurrer to the seventh cause of action is sustained with leave to amend.

California Consumer Privacy Act (CCPA) (Eighth Cause of Action)

Defendants state:

First, the CCPA broadly exempts health information and healthcare providers from its reach. See Cal. Civ. Code §§ 1798.145(c)(1), 1798.146(a). In particular, the CCPA states that it “shall not apply to any . . . [m]edical information governed by” the CMIA, or to any “protected health information that is collected by a covered entity . . . governed by” HIPAA. Id. §§ 1798.145(c)(1)(A), 1798.146(a)(1). “Medical information” and “protected health information” are broad terms. See id. § 56.05(i); 45 C.F.R. § 160.103. And even when other types of information may be at issue, entities “governed by” the CMIA or HIPAA is still exempt from the CCPA “to the extent” that they “maintains patient information in the same manner as medical information or protected health information.” Cal. Civ. Code §§ 1798.145(c)(1)(B), 1798.146(a)(2). These exemptions apply here. Plaintiff contends that her information was provided in relation to healthcare, and, likewise, that the CMIA and HIPAA apply. See, e.g., id. ¶¶ 160-70, 349-65. This alone defeats the CCPA claim.

(Demurrer, pp. 10-11.)

The Court disagrees. The hackers allegedly exfiltrated more than just health information. (See, e.g., FAC, ¶¶ 8, 13.) How Defendants maintained the various kinds of information – whether they maintained them “in the same manner” as PHI (Demurrer, p. 11) – is a factual issue.

Next, Defendants state:

Plaintiff also does not sufficiently provide any facts to establish that any of the Defendants are a “business” within the meaning of the CCPA. The term “business” has a specific

statutory definition in the CCPA, requiring that an entity pass at least one of three “thresholds.” Cal. Civ. Code § 1798.140(d)(1). Two thresholds are revenue-based, but the Complaint says nothing about the Defendants’ annual gross revenue, id. § 1798.140(d)(1)(A), or whether Defendants derive revenue “from selling or sharing consumers’ personal information,” id. § 1798.140(d)(1)(C). The remaining threshold asks whether a defendant does certain things with the personal information of enough Californians. Id. § 1798.140(d)(1)(B). Plaintiff does not plausibly allege that Defendants meet any of these threshold requirements. Additionally, “to qualify as a “business” under the CCPA, the entity must . . . determine why and how (“the purposes and means”) the PII should be processed.” In re Accellion, Inc. Data Breach Litig. 713 F.Supp.3d 623, 640 (N.D. Cal. 2024). Here, Plaintiff does not plead any of the Defendants made such a determination.

(Ibid.)

The Court agrees.

Plaintiff cites the definition of “Business” in Civil Code section 1798.140, subdivision (d)(1)(B):

(d) “Business” means:

(1) A sole

proprietorship, partnership, limited liability company, corporation, association, or other legal entity that is organized or operated for the profit or financial benefit of its shareholders or other owners, that collects consumers’ personal information, or on the behalf of which such information is collected and that alone, or jointly with others, determines the purposes and means of the processing of consumers’ personal information, that does business in the State of California, and that satisfies one or more of the following thresholds:

* * *

(B) Alone or in

combination, annually buys, sells, or shares the personal information of 100,000 or more consumers or households.

(Cal. Civ. Code § 1798.140, subd. (d)(1)(B), emphasis added; see

also Opposition, p. 13.) According

to the FAC, the breach purportedly affected over 105,000 patients. (See FAC, ¶ 1.) This allegation fails to aver that Defendants

annually “buy[], sell[], or share[]” personal information of the requisite number of consumers or households.

Next, Defendants contend:

[Section] 1798.150(b)

provides that private actions under this statute may be brought if “prior to initiating any action against a business for statutory damages on an individual or classwide basis, a consumer provides a business 30 days’ written notice identifying the specific provisions of this title the consumer alleges have been or are being violated.” (emphasis added). Further, if “within the 30 days the business actually cures the noticed violation . . . no action for individual statutory damages or class-wide statutory damages may be initiated against the business.” *Id.* Here, Plaintiffs express allegations reveal that her own action may not satisfy these requirements. See Compl. ¶ 324 (“Pursuant to § 1798.150(b), Plaintiff will provide or has provided each Defendant with 30 days’ written notice . . .”).

(Demurrer, pp. 11-12, emphasis added.)

The argument appears to be moot.

Plaintiff declares that the statute does not impose the 30-day requirement on claims for equitable relief.

She says that, currently, she is not seeking damages under the statute. (See Opposition, p. 14; see also Reply, pp. 6-7 [not addressing the 30-day requirement].)

Last, Defendants assert:

Regarding the Bold

Quail, NewGen, and IHS Defendants, Plaintiff fails to allege a violation of the statute whatsoever. Plaintiff cites Cal

Civ. Code § 1798.150(a)(1) as to all Defendants, summarily accusing them all of failing to “implement and maintain reasonable security procedures and practices appropriate to the nature of the information” to protect personal information[.]” But the “security procedures” of the Bold Quail, NewGen and IHS Defendants are not implicated by the alleged Incident, which, is stated to have

occurred on M-Theories servers. (Compl. ¶ 4).

(Demurrer, p. 12.)

Plaintiff responds: “The operative complaint alleges that all defendants collected, maintained, and processed the personal information of over 105,425 patients and that each defendant is subject to CCPA liability on the face of those allegations. (Amend. Compl. ¶¶ 1, 6, 280-283.) The Court must accept those allegations as true at the pleading stage.” (Opposition, p. 13.)

The Court agrees with Defendants. Paragraph 4 alleges that M-Theory “design[ed], install[ed], manag[ed], and operat[ed] the IT infrastructure and servers that housed patients’ sensitive PII and PHI on behalf of the NewGen Defendants” (FAC, ¶ 4) whereas Paragraph 281 lumps all Defendants together: “Defendants violated the California Consumer Privacy Act (CCPA), Cal. Civ. Code § 1798.150, by failing to implement and maintain reasonable security procedures and practices appropriate to the nature of the information, resulting in unauthorized access and exfiltration, theft, or disclosure of Plaintiff’s and the Class members’ nonencrypted and nonredacted PII/PHI.” (Id. at ¶ 281.) The Court finds that paragraph 281 is too conclusory in light of the specificity of the location of the incident described in the Complaint at paragraph 4.

Plaintiff needs to allege more facts about NewGen Defendants and IHS to state a claim against them.

In summary, for these reasons, the demurrer to the eighth cause of action is sustained with leave to amend.

California Consumer Records Act (CCRA) (Ninth Cause of Action)

Defendants contend:

* Plaintiff fails to allege unreasonable delay in disclosing the data breach to patients (see Demurrer, pp. 12-13);

* Plaintiff does not qualify as a “Customer” under the statute (see id. at p. 13 [“‘Customer’ means an individual who provides personal information to a business for the purpose of purchasing or leasing a product or obtaining a service from the business.” Plaintiff alleges she was a patient of a Windsor entity long before it was acquired by NewGen Defendants and ended that relationship over three years before the Incident. (Id. at ¶ 12).

Plaintiff was never seeking to obtain a product or service from the Bold Quail or NewGen Defendants. Nor could she be a customer of M-Theory or IHS.”));

* Plaintiff alleges inconsistent allegations against NewGen Defendants (see *ibid.* [“In the CCRA claim, Plaintiff attempts to allege that “[d]espite discovering the breach on September 14, 2023, the NewGen Defendants did not begin notifying affected individuals until February 23, 2024—over five months (162 days) later.” (Compl. ¶ 340). Yet, elsewhere in the Complaint, Plaintiff alleges “M-Theory refused to provide the NewGen Defendants with access to the compromised servers or share forensic findings regarding the breach,” (*id.* ¶ 118) and “NewGen Defendants had no way of conclusively identifying what data was stored on the impacted servers and to whom it relates.” (*id.* ¶ 119). Plaintiffs cannot plausibly allege that NewGen should have sent notices out sooner while simultaneously acknowledging that NewGen was deprived of critical Incident-related information.”)]; and

* “Plaintiff does not plausibly allege that any delay caused her harm.” (*Ibid.*; see also *id.* at p. 14.)

The Court finds the second point decisive. Plaintiffs assert that NewGen Defendants are liable as successors of the former owners of the Windsor entity, that M-Theory is liable as the owner of the servers that were hacked, and that IHS is liable as the licensor of the data. (See Opposition, pp. 15-16.) The singular authority that Plaintiff cites is page 920 of the Stasi opinion. (See *id.* at p. 16.) Page 920 analyzes breach-of-contract issues. (See Stasi, *supra*, 501 F.Supp.3d at 920 [analyzing third-party beneficiary and damages].) The citation fails to provide insight on applying the CCRA’s “Customer” definition to Defendants.

The demurrer to the ninth cause of action is sustained with leave to amend.

Confidentiality of Medical Information Act (CMIA) (Tenth Cause of Action)

Defendants contend that Plaintiff fails to allege that her medical records were “viewed by an unauthorized individual.” (Demurrer, p. 14 [quoting *Regents of University of California v. Superior Court* (2013) 220 Cal.App.4th 549, 570 (“Regents”) and citing other cases]; see also Reply, pp.

7-8.)

The demurrer is overruled.

The California Supreme Court recently disapproved Regents and the

“actual viewing” requirement. (See

J.M. v. Illuminate Education, Inc. (2026) 19 Cal.5th 705, 711,

719-723.) All that needs to be alleged is

that the data was “exposed to a significant risk of unauthorized access or

use.” (Id. at 711; see also

id. at 719-723.) The FAC goes above

and beyond the standard, alleging actual viewing by cybercriminals (see FAC,

¶¶ 360, 362) and circumstances – phishing contacts – showing a substantial risk

of improper usage. (See, e.g., id.

at ¶¶ 140-141, 228.)

Arguments advanced by Defendants M-Theory

and IHS

No Legal Relationship

This issue applies to the negligence claim (first cause of action).

M-Theory and IHS argue that Plaintiff fails to allege that she

had a special relationship with M-Theory and IHS and, thus, cannot avoid the

economic-loss rule. (See Demurrer,

pp. 16-17.)

The demurrer is overruled.

As explained above, the economic-loss rule is inapplicable for a

separate reason – “the time spent responding to a data breach is a

non-economic injury[.]” (Stasi,

supra, 501 F.Supp.3d at 913; see also id. at 913-914 [reasoning that

the plaintiffs and defendant “were not in privity of contract, there was no

commercial activity between” the plaintiffs and defendant, “and the case d[id]

not involve a defective product or services resulting in mere ‘disappointed

expectations[.]”]; FAC, ¶ 227 [alleging similar allegations about medical information and time expended

“monitoring [Plaintiff’s] financial accounts, reviewing credit reports, and

taking protective measures”]; id. at ¶¶ 8, 13.) In any case, the “special relationship” test

is a six-factor, fact-intensive test. (See

Opposition, p. 8.) The inquiry cannot be resolved without discovery and evidence.

California Consumer Privacy Act (CCPA) (Eighth Cause of Action)

M-Theory and IHS assert:

* they are not “Businesses” under the CCPA (see Demurrer, p. 18);

* the CCPA exempts “medical information” governed by the CMIA and “protected health information” governed by HIPAA from its reach (id. at pp. 18-19 [claiming “Plaintiff expressly alleges that the data at issue constitutes medical and health information and that the CMIA and HIPAA apply”]); and

* Plaintiff did not comply with the pre-suit notice requirement. (See id. at p. 19.)

The first point has merit.

Plaintiff claims all Defendants “collected, maintained, and processed the personal information of over 105,425 patients[.]” (Opposition, p. 13.) To repeat, Plaintiff cites the definition of “Business” in Civil Code section 1798.140, subdivision (d)(1)(B):

(d) “Business” means:

(1) A sole proprietorship, partnership, limited liability company, corporation, association, or other legal entity that is organized or operated for the profit or financial benefit of its shareholders or other owners, that collects consumers' personal information, or on the behalf of which such information is collected and that alone, or jointly with others, determines the purposes and means of the processing of consumers' personal information, that does business in the State of California, and that satisfies one or more of the following thresholds:

* * *

(B) Alone or in

combination, annually buys, sells, or shares the personal information of 100,000 or more consumers or households.

(Cal. Civ. Code § 1798.140, subd. (d)(1)(B), emphasis added; see also Opposition, p. 13.) According

to the FAC, the breach purportedly affected over 105,000 patients. (See FAC, ¶ 1.) What is missing is a statement stating that all

Defendants “buy[], sell[], or share[]”personal information in the requisite volume on an annual basis.

The second point is unconvincing. The Court reiterates that the hackers allegedly exfiltrated some non-healthcare data.

(See, e.g., FAC, ¶¶ 8, 13.)

Evidence must be evaluated to assess whether Defendants maintained the non-healthcare data “in the same manner” as PHI.

The third point is moot since Plaintiff is not requesting damages. (See Opposition, p. 14.)

The demurrer by M Theory and IHS to the to the eighth cause of action under the Confidential Medical Records Act is sustained with leave to amend.

Prompt Notification by M-Theory

M-Theory states:

Several of Plaintiff’s

claims rest on allegations of delayed notification. Those theories do not apply to M-Theory. The Complaint itself alleges that M-Theory notified the NewGen Defendants of the ransomware incident on or about September 14, 202; the day after it was discovered. (Compl. ¶ 7.) Any delay in notifying affected individuals thereafter is attributable solely to the NewGen Defendants’ independent investigation, not to M-Theory.

The Complaint concedes

that M-Theory was conducting an active forensic investigation of a criminal intrusion. The delay Plaintiff complains about was a necessary consequence of the forensic process, not a breach of any duty by M-Theory. (Compl. ¶¶ 118-119.)

(Demurrer, p. 19.)

The demurrer is overruled.

The delay issue – the reasonableness of the delay, and the extent of M-Theory's responsibility for the delay – is a factual issue. (See FAC, ¶¶ 117-119 [suggesting that M-Theory inhibited NewGen Defendants' investigation, contributing to the allegedly delayed disclosure to patients].)

California Consumer Records Act (CCRA) (Ninth Cause of Action)

M-Theory and IHS contend Plaintiff was not a "Customer." (See Demurrer, pp. 19-20 ["Plaintiff never purchased a product from M-Theory or IHS. Plaintiff never sought or obtained a service from M-Theory or IHS. Plaintiff never had any interaction with M-Theory or IHS. She was a patient of Windsor El Camino, not a customer of an IT infrastructure services company."]; cf. Opposition, pp. 15-16 [citing Stasi].)

The Court agrees. The authority Plaintiff advances – page 920 of the Stasi decision – does not support extending the statute's "Customer" definition to M-Theory as the owner of the servers or to IHS as the licensor of the data.

These defendants' demurrer to the ninth cause of action is sustained with leave to amend.

Indispensable Party

M-Theory and IHS claim:

Windsor El Camino Care

Center, LLC is the entity that collected Plaintiff's personal information, served as her healthcare provider, and held the contractual relationship Plaintiff invokes. (Compl. ¶¶ 12, 136.) Windsor El Camino has since filed for bankruptcy. Any liability determination in this action, particularly on the contract, CCRA, and CMIA claims, necessarily implicates Windsor El Camino's role, obligations, and rights. If Windsor El Camino cannot be joined because of the bankruptcy stay, this Court must determine under Code of Civil Procedure section 389(b) whether the action should proceed or be dismissed. M-Theory and IHS join in this ground under Code of Civil Procedure section 430.10(d), which provides that a demurrer lies where there is a defect or misjoinder of parties.

(Demurrer, p. 20.)

The demurrer is overruled.

M-Theory and IHS do not meet their burden as the moving parties. Other than declaring that the Windsor entity has filed for bankruptcy, they analyze none of the factors for finding a party indispensable. (Cf. Opposition, pp. 16-17.)

Negligence Per Se (Second Cause of Action)

Piggybacking on the other Defendants' argument, M-Theory and IHS reemphasize that the FTC Act and HIPPA cannot serve as the underlying statutes because they do not provide private rights of action. (See Demurrer, p. 20.)

Plaintiff seeks leave to amend to add the CCRA and CMIA as predicates. (See Opposition, p. 10; cf. Reply, p. 5 [contesting leave to amend].)

The demurrer is sustained with leave to amend.

CMIA (Tenth Cause of Action)

M-Theory and IHS contend a plaintiff bringing a CMIA claim is obligated to allege that "an unauthorized individual actually viewed her medical information." (Demurrer, p. 20 [citing Regents], emphasis in original.)

The demurrer is overruled.

As noted, the "actual viewing" requirement is not required. (See J.M., supra, 19 Cal.5th at 711, 719-723.)

The timeline for filing an amended complaint will be discussed at the hearing.

[1] The claims for invasion of privacy, unjust enrichment, and breach of fiduciary duty have been withdrawn. (See Notice of Demurrer, p. 4 n.1.)

[2] Plaintiff only needs to allege one concrete injury to meet her burden. The

“phishing” allegation suffices, so the Court declines to address the other alleged injuries.